• Money, Banking, Tax System, Financial Relation of Centre and State

49. With reference to the Fourteenth Finance Commission, which of the following statements is/are correct?

1. It has increased the share of States in the central divisible pool from 32 percent to 42 percent.
2. It has made recommendations concerning sector-specific grants.

Select the correct answer using the code given below :

(a) 1 only (b) 2 only
(c) Both 1 and 2 (d) Neither 1 nor 2

Ans : (a) The Fourteenth Finance Commission (FFC) has radically enhanced the share of the states in the central divisible pool from the current 32 percent to 42 percent, which is the biggest ever increase in vertical tax deduction. The FFC has not made any recommendation concerning sector-specific grants, unlike the Thirteenth Finance Commission.

50. When the Reserve Bank of India reduces the Statutory Liquidity Ratio by 50 basis points, which of the following is likely to happen?

(a) India's GDP growth rate increases drastically
(b) Foreign Institutional Investors may bring more capital into our country
(c) Scheduled Commercial Banks may cut their lending rates
(d) It may drastically reduce the liquidity to the banking system

Ans : (c) The SLR cut by the RBI in likely to give more elbow room for banks to cut rates. When SLR is reduced, banks have to park lesser money with RBI in the form of Securities, case etc so they have more money to lend and the return on lending is also greater than what they get in SLR; hence the scheduled Commercial bank may cut their lending rates.

51. Convertibility of rupee implies

(a) being able to convert rupee notes into gold
(b) allowing the value of rupee to be fixed by market forces
(c) freely permitting the conversion of rupee to other currencies and vice versa
(d) developing an international market for currencies in India

Ans: (c) Convertibility of rupee implies freely permitting the conversion of rupee to other currencies and vice versa. Currency convertibility is the ease with which a country's currency can be converted into gold or another currency.

52. With reference to Indian economy, consider the following :

1. Bank rate
2. Open market operations
3. Public debt
4. Public revenue

Which of the above is/are component/components of Monetary Policy?

(a) 1 only
(b) 2, 3 and 4
(c) 1 and 2
(d) 1, 3 and 4

Ans : (c) Monetary policy refers to the policy of the Central bank with regard to the use of monetary instruments under its control to achieve the goals specified in the act.
The following are the main tools of RBI-
(i) Bank Rate
(ii) Cash Reserve Ratio
(iii) Statutory liquidity Ratio
(iv) Repo rate
(v) Reverse Repo Rate
(vi) Open market operations (OMO).
Public debt and public revenue are matters falling under the fiscal policy.

• Foreign Trade of India, Economic Organization and Stock Market

53. The Government of India has established NITI Aayog to replace the–

(a) Human Rights Commission
(b) Finance Commission
(c) Law Commission
(d) Planning Commission

Ans : (d) The central government established the NITI Aayog on 1st January, 2015, replacing the 65 years old Planning commission. The full form of NITI Aayog- National Institution for Transforming India.

54. The problem of international liquidity is related to the non-availability of

(a) goods and services
(b) gold and silver
(c) dollars and other hard currencies
(d) exportable surplus

Ans : (c) The concept of international liquidity is associated with international payment. These payments arise out of international trade in goods and services and also in connection with capital movements between one country and another. International liquidity is a foreign currency like dollars sterling or Gold in the reserve of any country. It is very useful to pay the amount of imported goods and reduce the balance of payment deficit. Every country should increase exports for reducing the international liquidity shortage.

SCIENCE

• Chemistry

55. With reference to 'fuel cells' in which hydrogen-rich fuel and oxygen are used to generate electricity, consider the following statements :

1. If pure hydrogen is used as a fuel, the fuel cell emits heat and water as by-products.
2. Fuel cells can be used for powering buildings and not for small devices like laptop computers.
3. Fuel cells produce electricity in the form of Alternating Current (AC).

Which of the statements given above is/are correct?

(a) 1 only (b) 2 and 3 only
(c) 1 and 3 only (d) 1, 2 and 3

Ans : (a) We know that alternating current is produced with the help of magnetic fields, so fuel cells cannot produce that. This eliminates all the options except which has to be the answer. If pure hydrogen is used as fuel, the fuel cell emits heat and water as by- products. Fuel cells can be used for powering small devices like laptops computers. Hence option (a) is correct.

• Medical Science

56. H1N1 virus is sometimes mentioned in the news with reference to which one of the following diseases?

(a) AIDS (b) Bird flu
(c) Dengue (d) Swine flu

Ans : (d) Influenza A (H1N1) virus is the most common cause of human influenza (flu). In June 2009, the World Health Organisation (WHO) declared the new strain of swine origin H1N1 as a pandemic. This strain is often Called Swine Flu by the public media.

• Agriculture, Animal Husbandry and Drainage

57. What can be the impact of excessive/ inappropriate use of nitrogenous fertilizers in agriculture?

1. Proliferation of nitrogen-fixing microorganisms in soil can occur.
2. Increase in the acidity of soil can take place.
3. Leaching of nitrate to the ground-water can occur.

Select the correct answer using the code given below:

(a) 1 and 3 only (b) 2 only
(c) 2 and 3 only (d) 1, 2 and 3

Ans : (c) Increasing the amount of nitrogen- based fertilizer does not lead to more micro-organism in the field. Excessive use of nitrogen fertilizers results in soil acidity. Nitrogen fertilizers break down into nitrates and travel easily through the soil because it is water -soluble and can remain in groundwater decades. The addition of more nitrogen over the years has an accumulative effect.

58. The Fair and Remunerative Price (FRP) of sugarcane is approved by the

(a) Cabinet Committee on Economic Affairs
(b) Commission for Agricultural Costs and Prices
(c) Directorate of Marketing and Inspection, Ministry of Agriculture
(d) Agricultural Produce Market Committee

Ans : (a) With the amendment of the Sugarcane (control) Order 1966 on 22nd October 2009, the concept of Statutory Minimum Price (SMP) of Sugarcane was replaced with the Fair and Remunerative Price (FRP) of sugarcane for 2009-10 and subsequent sugar seasons. The cane price announced by the central government is decided on the basis of the recommendation of the Commission for Agricultural Costs and Prices (CACP) after consulting the state governments and associations of the sugar industry and approved by the cabinet committee on Economic Affairs.

59. Consider the following statements :

1. The Accelerated Irrigation Benefits Programme was launched during 1996-97 to provide loan assistance to poor farmers.
2. The Command Area Development Programme was launched in 1974-75 for the development of water-use efficiency.

Which of the statements given above is/are correct?

(a) 1 only (b) 2 only
(c) Both 1 and 2 (d) Neither 1 nor 2

Ans : (b) Accelerated Irrigation Benefits Programme (AIBP) was launched by the government of India during 1996-97 to assist states for early and time bound completion of major and medium irrigation projects and extension renovation and modernisation of completed major medium projects. Under the programme. Central assistance to the states was in the form of a loan. The Command Area Development Programme (CADP) started in 1974-75 as a centrally sponsored scheme, envisaged execution of on- farm development works like field channels, land levelling, field drains and conjunctive use of ground and surface water. Hence option (b) is correct.

60. Which one of the following best describes the main objective of `Seed Village Concept'?

(a) Encouraging the farmers to use their own farm seeds and discouraging them to buy the seeds from others
(b) Involving the farmers for training in quality seed production and thereby to make available quality seeds to others at appropriate time and affordable cost
(c) Earmarking some villages exclusively for the production of certified seeds
(d) Indentifying the entrepreneurs in villages and providing them technology and finance to set up seed companies

Ans : (b) A village, wherein a trained group of farmers are involved in the production of seeds of various crops and cater to the needs of themselves, fellow farmer of the village, and farmers of neighbouring villages in the appropriate time and at affordable cost is called 'a seed village'.